

Class 12 Business Studies

Chapter 1: Nature and Significance of Management

1. Meaning of Management

Management is the process of getting things done effectively and efficiently through and with other people to achieve organisational goals.

- **Effectiveness:** Completing the desired task or achieving the objective.
- **Efficiency:** Completing the task with minimum cost and wastage of resources.

2. Objectives of Management

- **Organisational Objectives:** Survival, profit and growth.
- **Social Objectives:** Providing quality goods at reasonable prices, creating employment, responsible use of resources and social welfare.
- **Personal Objectives:** Salary and incentives, promotion and career growth, recognition and job satisfaction.

3. Importance of Management

1. **Achieving Group Goals:** Brings individual efforts together towards common organisational goals.
2. **Increases Efficiency:** Reduces wastage and ensures optimum utilisation of resources.
3. **Creates a Dynamic Organisation:** Helps the organisation adapt to changes in technology, customers and the business environment.
4. **Achieving Personal Objectives:** Motivates employees and helps them achieve individual goals along with organisational goals.
5. **Development of Society:** Provides quality goods, employment opportunities and better use of resources.

4. Management as an Art

Meaning: Management is an art because it involves the practical application of knowledge and skills to achieve desired results.

1. **Existence of Theoretical Knowledge:** Management has a systematic body of knowledge consisting of principles and concepts.
2. **Personalised Application:** Managers apply principles according to the situation and their own experience.
3. **Based on Practice and Creativity:** Management requires regular practice and creativity to solve organisational problems.

5. Management as a Science

1. **Systematised Body of Knowledge:** Management has organised knowledge based on concepts, principles and theories.
2. **Principles Based on Experimentation:** Management principles are developed through observation and experimentation.
3. **Universal Validity:** Management principles can be applied in different organisations, although application may vary by situation.

Important: Management is not an exact science because human behaviour cannot be predicted with complete accuracy.

6. Management as a Profession

A profession requires specialised knowledge and training and is generally governed by professional standards.

Features: Well-defined body of knowledge, restricted entry, professional association, ethical code, service motive and remuneration.

Is Management a Profession? Management is not a full-fledged profession because entry is not legally restricted, there is no compulsory professional association for all managers, and there is no universally compulsory code of conduct.

Exam Line: Management has some features of a profession but is not a full-fledged profession.

7. Levels of Management

- **Top Level:** Board of Directors, CEO, Managing Director. Sets objectives, frames policies and strategies, takes major decisions and controls the organisation.
- **Middle Level:** Departmental/branch managers. Implements plans, coordinates departments, supervises lower-level managers and reports to top management.
- **Supervisory/Operational Level:** Supervisors and foremen. Directly supervise workers, assign work, maintain discipline and ensure quality and timely production.

8. Functions of Management — P-O-S-D-C

- **Planning:** Deciding in advance what to do and how to do it.
- **Organising:** Arranging resources and assigning responsibilities.
- **Staffing:** Recruiting, selecting and developing employees.
- **Directing:** Guiding, motivating and leading employees.
- **Controlling:** Comparing actual performance with planned performance and taking corrective action.

9. Coordination

Meaning: Coordination is the process of integrating the efforts of different individuals and departments to achieve common organisational goals.

1. **Integrates Group Efforts** — Brings together the efforts of different individuals and departments.
2. **Ensures Unity of Action** — Ensures everyone works towards common objectives.
3. **Continuous Process** — Required throughout the life of an organisation.
4. **Pervasive Function** — Required at all levels and in all departments.
5. **Responsibility of All Managers** — Every manager is responsible for coordinating their team.
6. **Deliberate Function** — Managers deliberately coordinate activities to achieve organisational objectives.

10. Coordination: The Essence of Management

Coordination is called the **essence of management** because it is required in all functions of management.

- **Planning:** Coordinates different plans.
- **Organising:** Coordinates resources and activities.
- **Staffing:** Coordinates employees with organisational needs.
- **Directing:** Coordinates individual efforts.
- **Controlling:** Ensures actual performance is aligned with plans.

Most Important Exam Point: Coordination is not a separate function of management; it is the force that binds all managerial functions together.

Quick Revision Chart

Topic	Key Point
Management	Getting work done effectively and efficiently
Effectiveness	Achieving objectives
Efficiency	Minimum cost/wastage
Objectives	Organisational, Social, Personal
Levels	Top, Middle, Supervisory
Functions	Planning, Organising, Staffing, Directing, Controlling
Coordination	Integration of efforts
Essence	Binds all management functions